

Notes: Gu, Peng & Zhang (RFS, 2026)
The Gender Gap in Household Bargaining Power: A Revealed-Preference Approach

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1 Big picture

- **Question.** When spouses have different risk preferences, whose risk preference is reflected more strongly in the household portfolio, and what explains that influence?
- **Core idea.** The paper treats household portfolio choice as the outcome of intrahousehold bargaining rather than as the choice of a single representative household head.
- **Revealed-preference approach.** Instead of asking spouses directly how much power they have, the paper infers bargaining weights from how individual risk preferences map into household stock market participation and risky-asset holdings.
- **Main data.** The main sample comes from the Australian HILDA survey: 9,357 household-wave observations from 4,336 heterosexual married-couple households in waves 2006, 2010, 2014, and 2018.
- **Main model.** A household chooses whether to pay a participation cost and invest in risky assets. Household risk aversion is a bargaining-weighted aggregation of husband and wife risk aversion.
- **Main finding.** In the baseline model, husbands have about 60% average bargaining power and wives have about 40%, implying a 20 percentage point gap or roughly 50% more bargaining weight for husbands.
- **Sources of the gap.** Observable spousal differences such as earnings, employment, and cognitive ability explain part of the gap, but gender effects are large and persistent, especially in husband-headed households.
- **Financial headship.** Self-reported household financial headship strongly aligns with revealed bargaining power. Husband-headed households give husbands much more bargaining weight; wife-headed households give wives more weight, although the female advantage is smaller than the male advantage in husband-headed households.
- **Norms mechanism.** More traditional gender norms predict higher husband bargaining power and a higher probability that a household is husband-headed.
- **External validation.** Similar exercises using German GSOEP and U.S. HRS data show that the husband bargaining advantage appears outside Australia as well.
- **Economic takeaway.** Household portfolio choice embeds a gendered allocation of decision rights. Treating the household as a representative investor hides who actually shapes risk-taking and may misstate the welfare relevance of financial advice and policy interventions.

2 Incremental contribution of the paper

- **From household-as-unit to household-as-bargaining-equilibrium.** The paper moves household finance beyond the representative household approach by making individual risk preferences and bargaining weights central to portfolio choice.
- **Revealed-preference measure of bargaining power.** Prior work often proxies bargaining power using income shares, wealth shares, education, or self-reported final say. This paper structurally recovers bargaining power from actual portfolio choices, while using self-reported headship and gender norms as validation and mechanism variables.
- **Separation of preferences from power.** The paper distinguishes two objects that are often conflated: spouses may differ in risk aversion, and they may also differ in their ability to make the household portfolio reflect their preference.
- **Gender effects versus observable characteristics.** The model explicitly decomposes bargaining weights into gender effects, observed spousal differences, and unobserved heterogeneity. This allows the authors to ask how much of the gender gap is due to earnings, employment, cognition, and other characteristics versus a residual gendered decision structure.

- **Portfolio-choice application of collective household theory.** The paper imports the collective-household intuition from labor and consumption into risky investment choice, using a tractable mean-variance model with participation costs.
- **Measurement-error treatment of risk aversion.** Self-reported risk attitudes are noisy and may be interpreted differently by men and women. The paper introduces a risk-measurement equation that maps survey risk aversion into latent true risk preferences.
- **International comparison.** By applying the framework to Australia, Germany, and the United States, the paper shows that the gender gap in bargaining power is not a peculiarity of one survey or country.
- **Link to gender norms.** The paper connects revealed bargaining power to stated household gender norms, turning the structural estimates into evidence about the role of social norms in financial decision-making.

3 Data and measurement

3.1 Main survey and sample

The main data source is the Household Income and Labour Dynamics in Australia (HILDA) Survey. HILDA is nationally representative and collects information at both the individual and household levels. The paper uses waves 6, 10, 14, and 18, corresponding to 2006, 2010, 2014, and 2018, because these waves jointly contain information on demographics, financial headship, and asset allocation.

- The unit of observation is a household-wave.
- The sample focuses on heterosexual married couples with one husband and one wife.
- The raw sample contains 17,320 household-wave observations.
- After dropping observations with missing information and households where financial decisions are made by outsiders or where both spouses claim sole headship, the final main sample contains 9,357 household-wave observations from 4,336 unique households.

Interpretation: The HILDA survey is useful because it observes both spouses separately. This is essential: the paper cannot infer household bargaining power unless it observes individual risk preferences and individual characteristics inside the same household.

3.2 Portfolio variables

The key household financial outcomes are:

- **Stock market participation:** an indicator equal to one if the household directly holds equities, including individual stocks and mutual funds.
- **Risky asset holdings:** the value of equity holdings, used on the intensive margin for participating households.
- **Financial wealth:** broad financial assets including equity, cash investments, trusts, bank accounts, and other nonproperty investments.

Interpretation: The model must match both the extensive margin and intensive margin. Participation reveals whether the household is willing to pay a fixed cost to hold stocks, while risky asset holdings reveal the household's effective risk aversion conditional on participation.

3.3 Individual risk aversion

Each spouse reports financial risk tolerance on a four-point scale. The paper codes this as risk aversion from 1 to 4, where higher values indicate greater risk aversion.

- Average husband risk aversion is 3.18.
- Average wife risk aversion is 3.42.
- Thus wives are more risk averse on average in the raw data.
- In 43% of households, spouses have different risk aversion levels.

Interpretation: The empirical setting matters because spouses do not always agree. If spouses had identical risk preferences, portfolio choices would not reveal much about bargaining power. Disagreement over risk preferences creates the identifying variation.

3.4 Financial headship

The HILDA survey asks who makes decisions about savings, investment, and borrowing. The paper classifies households into five types:

- husband-headed;
- husband-shared;
- jointly headed;
- wife-shared;
- wife-headed.

Interpretation: The financial-head variable is not used as the direct measure of bargaining power in the baseline structural model. Instead, it enters the bargaining equation as a gender-headship effect and later helps validate the revealed bargaining weights.

3.5 Individual and household characteristics

The paper observes age, education, employment, earnings, cognitive ability, and Big Five personality traits for each spouse. It also observes household earnings, wealth, financial assets, equity holdings, and number of children.

Interpretation: These variables serve two roles. First, household-level averages help explain participation costs. Second, spousal differences in individual characteristics help explain bargaining power. This design lets the paper separate economic advantages, such as employment and earnings, from residual gender effects.

3.6 International data sets

The paper repeats the main exercise using:

- the German Socio-Economic Panel (GSOEP), with 5,843 household-wave observations;
- the U.S. Health and Retirement Study (HRS), with 7,014 household-wave observations.

Interpretation: These data sets are less ideal than HILDA because they lack some variables or restrict the population, but they provide an external check that the gender gap in bargaining power is not unique to Australia.

4 Model and empirical specifications

4.1 Assets and household portfolio choice

The economy has a risk-free asset with return r_f and a risky asset with return $r_f + \tilde{x}$, where the equity premium satisfies

$$\tilde{x} \sim N(r_x, \sigma_x^2).$$

A household with wealth w_i chooses risky holdings a and pays a fixed stock market participation cost C_i if it participates. Household utility is mean-variance:

$$U_i(a) = \max_a \left\{ w_i(1 + r_f) + \left(ar_x - C_i - \frac{1}{2} \gamma_i a^2 \sigma_x^2 \right) \mathbf{1}\{a > 0\} \right\}.$$

The optimal risky holding is a cutoff rule:

$$a_i = \begin{cases} 0, & \gamma_i > \frac{r_x^2}{2\sigma_x^2 C_i}, \\ \frac{r_x}{\gamma_i \sigma_x^2}, & \gamma_i \leq \frac{r_x^2}{2\sigma_x^2 C_i}. \end{cases}$$

Interpretation: A household is less likely to participate when risk aversion is high or participation cost is high. Conditional on participating, risky holdings decline with household risk aversion.

4.2 Participation cost

Participation cost is modeled flexibly as

$$\begin{aligned} C_i = & c_0 + c_1 \log(Earning_i) + c_2 \log(Earning_i)^2 + c_3 \log(Wealth_i) + c_4 \log(Wealth_i)^2 \\ & + c_5 Age_i + c_6 Age_i^2 + c_7 Education_i + c_8 Cognition_i + c_9 Children_i \\ & + c_{10} Year2010_i + c_{11} Year2014_i + c_{12} Year2018_i. \end{aligned}$$

Interpretation: The participation cost absorbs any household-level factor that affects stock participation other than risk aversion. Including wealth in this function breaks the unrealistic prediction that mean-variance demand is wealth-neutral.

4.3 Aggregation of risk preferences

For a household with husband h and wife w , household risk tolerance is a weighted average of individual risk tolerances:

$$\frac{1}{\gamma_i} = \frac{\beta_i^h}{\gamma_i^h} + \frac{\beta_i^w}{\gamma_i^w}, \quad \beta_i^h + \beta_i^w = 1.$$

Interpretation: The reciprocal of risk aversion is risk tolerance. If the husband receives more bargaining weight, household risk tolerance moves closer to the husband's risk tolerance. This is how bargaining power is revealed through portfolio choices.

4.4 Bargaining power equation

Husband bargaining power is modeled with a logistic transformation:

$$\beta^h(X_t^h, X_t^w, H_t) = \frac{\exp\{\tilde{\beta}(X_t^h, X_t^w, H_t)\}}{1 + \exp\{\tilde{\beta}(X_t^h, X_t^w, H_t)\}},$$

where

$$\tilde{\beta}(X_t^h, X_t^w, H_t) = (X_t^h - X_t^w)' \delta_x + \sum_{j=1}^5 \delta_{jt}^H \mathbf{1}\{H_t = j\} + \mu + \epsilon_t.$$

Interpretation: The first term captures observable spousal differences. The second captures gender-headship effects. The persistent household type μ captures unobserved household heterogeneity, while ϵ_t captures temporary shocks.

4.5 Risk aversion measurement equation

Self-reported risk aversion is noisy. The paper maps true latent risk aversion into reported risk aversion using

$$\log \bar{\gamma}_t^h = \zeta_0^h + \zeta_1^h \log \gamma_t^h + \xi_t^h, \quad \log \bar{\gamma}_t^w = \zeta_0^w + \zeta_1^w \log \gamma_t^w + \xi_t^w.$$

The measurement errors are jointly normal with correlation ρ_ξ .

Interpretation: This step matters because survey risk attitudes are categorical and noisy. Without correcting measurement error, the estimated contribution of individual preferences to portfolio choice would be attenuated.

4.6 Likelihood and estimation

The model is estimated by maximum likelihood. The likelihood combines:

- the discrete stock market participation decision;
- the continuous risky asset holding among participants;
- measurement error in risky asset holdings;
- measurement error in reported risk aversion;
- discrete unobserved household types following a Heckman-Singer mass-point approach.

Interpretation: The model uses both participation and risky holdings to separately recover participation costs, latent risk aversion, and bargaining weights. Identification comes from how household portfolios vary with both spouses' risk preferences and characteristics.

5 Identification and empirical design

This is a structural revealed-preference paper, not a randomized experiment. The identification problem is to infer unobserved household bargaining weights from observed portfolio choices and observed individual characteristics.

5.1 Main source of identification

The key variation comes from households in which husbands and wives differ in risk aversion. If the household portfolio is closer to what the husband's risk aversion would predict, the model assigns more bargaining power to the husband. If it is closer to what the wife's risk aversion would predict, it assigns more bargaining power to the wife.

$$(\gamma_i^h, \gamma_i^w) \quad \text{and} \quad (d_i, a_i) \quad \Rightarrow \quad \beta_i^h, \beta_i^w.$$

Interpretation: The model is revealed-preference in the sense that bargaining power is inferred from decisions, not from asking spouses who has power.

5.2 Extensive versus intensive margin

Participation identifies the joint influence of risk aversion and participation costs. Risky holdings among participants identify household risk aversion more directly:

$$a_i = \frac{r_x}{\gamma_i \sigma_x^2}.$$

Interpretation: The two margins complement each other. Participation alone could confuse risk aversion with participation costs, while risky holdings provide more direct information about effective household risk aversion.

5.3 Role of financial headship

Financial headship helps identify gender-headship effects. For a given pair of risk preferences and characteristics, if husband-headed households make choices closer to the husband's preference than jointly headed households, the model attributes this to a husband-headship gender effect.

Interpretation: This is why the paper can separate observable characteristics from gender effects. A husband may have higher bargaining power because he earns more, or because a husband-headed household gives him additional influence beyond earnings and other observed traits.

5.4 Validation through model fit

The model is validated by comparing simulated and actual portfolio moments. Table 8 and Figure 4 show that the model matches stock participation rates and the distribution of risky asset holdings across household types and risk-preference groups.

Interpretation: If the model could not match portfolio choices, the recovered bargaining weights would be hard to interpret. The goodness-of-fit exercises are therefore central credibility checks.

5.5 Mechanism check using gender norms

The paper links estimated bargaining weights to survey measures of gender norms. More traditional gender norms predict higher husband bargaining power and a higher probability that households are husband-headed.

Interpretation: This provides mechanism evidence. It suggests that the gender effect in bargaining is not merely a statistical residual; it is related to beliefs about gender roles inside the household.

5.6 Cross-country external validation

The paper estimates similar models using Germany and the United States. The gender gap appears in all three countries, and it is especially large in Germany, consistent with more traditional gender norms.

Interpretation: External validation matters because the main structural model is estimated on one country. The cross-country exercise shows that the result is not driven only by Australian survey design or institutions.

5.7 Threats and limitations

- Reported risk preferences may already reflect spousal influence. The measurement equation and robustness specifications partially address this.
- Financial headship may be endogenous to unobserved household structure. The model treats it as part of the bargaining environment rather than a causal treatment.
- The model is static and abstracts from bargaining over expected returns, time preference, savings, and divorce risk.
- Participation costs are flexible but reduced-form; they absorb many forces other than literal transaction costs.
- The estimates recover bargaining weights for portfolio choice, not necessarily for all household decisions.

Interpretation: The paper’s main claim should be read as a structural measurement result: household financial choices reveal a large gender gap in portfolio-decision bargaining power.

6 Tables and figures

6.1 Table 1: Summary statistics; Figure 1: Distribution of the financial head of the household by years

Read:

- Table 1 shows that stock market participation is 48%, median household earnings are AU\$104,000, and median financial assets are AU\$241,000.
- Husbands are older, more likely to be employed, earn more, and report lower risk aversion than wives.
- Figure 1 shows that roughly 58%-60% of households are jointly headed, while husband-headed or husband-shared households are much more common than wife-headed or wife-shared households.

Detailed interpretation: The descriptive facts already show two ingredients needed for the paper’s model: spouses differ in risk preferences and characteristics, and financial authority is unevenly distributed across households.

Economic message: The raw data suggest that the household should not be treated as a single person. The husband and wife have different inputs into the portfolio problem.

Table 1
Summary statistics

	Mean	SD	P25	P50	P75	Husband	Wife	Diff.
<i>Household characteristics</i>								
Stock participation	0.48	0.50	0	0	1			
Household earnings (AU\$1,000)	119	108	51	104	158			
Total wealth (AU\$1,000)	1,431	1,602	560	975	1,703			
Financial asset (AU\$1,000)	504	809	99	241	568			
Equity (AU\$1,000)	75	303	0	0	20			
Number of children	0.82	1.09	0	0	2			
<i>Individual characteristics</i>								
Age	49.72	15.04	38	49	61	50.92	48.51	2.42***
Education	12.96	2.57	12	12	15	13.01	12.92	0.10*
Employment	0.64	0.48	0	1	1	0.68	0.60	0.08***
Earnings (AU\$1,000)	47	57	0	36	73	61	33	29***
Risk aversion	3.30	0.67	3	3	4	3.18	3.42	-0.24***
Cognitive ability	0.15	0.85	-0.47	0.29	0.80	0.33	-0.04	0.37***
Extraversion	4.42	1.08	3.67	4.50	5.17	4.30	4.55	-0.25***
Agreeableness	5.42	0.86	5.00	5.50	6.00	5.19	5.66	-0.47***
Conscientiousness	5.27	0.97	4.67	5.33	6.00	5.17	5.36	-0.20***
Stability	5.28	1.03	4.67	5.33	6.00	5.27	5.29	-0.03
Openness	4.19	1.00	3.50	4.17	4.83	4.26	4.13	0.12***

This table reports summary statistics of our main sample. Stock participation is a dummy variable that indicates whether a household directly holds any equities. Both age and education are measured in years. Employment is a dummy variable indicating whether or not an individual is currently employed. Risk aversion is measured using an integer from 1 to 4, with a higher number indicating more risk aversion. Cognitive ability is measured by standardized scores of self-reported math skills. Extraversion, Agreeableness, Conscientiousness, Stability, and Openness are based on 36 personality questions, and their values range from 1 to 7 (see [Section A.3](#) of the Internet Appendix for more details). US\$1 $\approx$ AU\$1.2. * $p < .1$; ** $p < .05$; *** $p < .01$.

(a) **Table 1: Summary statistics.** This cropped original table reports household and spousal characteristics. The key numbers are the 48% stock participation rate, gender differences in earnings and employment, and wives' higher average risk aversion.

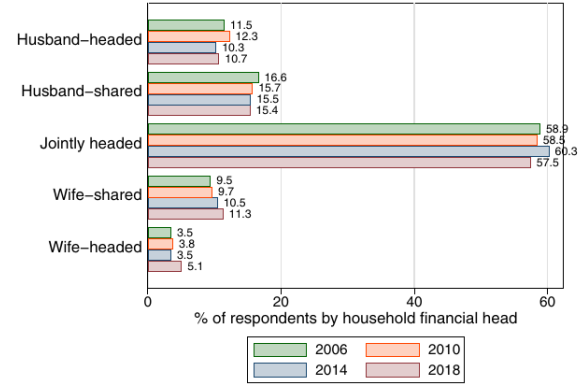


Figure 1
Distribution of the financial head of the household by years
This figure shows the distribution of the financial head of the household across five different waves (2006, 2010, 2014, 2018).

(b) **Figure 1: Distribution of the financial head of the household by years.** This figure shows the five financial-head categories across HILDA waves. Joint headship dominates, but nonshared headship is more often male than female.

6.2 Table 2: Percentage of households by the risk preference of each spouse; Table 3: OLS regression of stock market participation rate on risk preferences

Read:

- Table 2 shows that about 43% of couples have different risk aversion levels.
- Table 3 shows that stock market participation is negatively related to risk aversion for couples and singles.
- For couples, both spouses' risk preferences predict participation, but simple OLS cannot say whose preference receives more bargaining weight.

Detailed interpretation: Table 2 motivates the bargaining problem; Table 3 motivates the need for structural estimation. Risk aversion matters, but a reduced-form regression mixes preferences, bargaining power, participation costs, and measurement error.

Economic message: The paper's structural model is needed because a negative OLS coefficient on risk aversion does not directly reveal intrahousehold bargaining power.

Table 2

Percentage of households by the risk preference of each spouse

	Wife				Total
	1	2	3	4	
Husband	1	0.1	0.4	0.7	1.9
	2	0.2	1.8	6.4	11.4
	3	0.3	2.2	30.3	53.1
	4	0.2	0.5	8.2	24.8
Total	0.8	4.9	45.6	48.8	100.0

This table shows the distribution of husband-wife-paired risk aversions. Risk aversion is measured using an integer from 1 to 4, where a higher number indicates a higher level of risk aversion. Each cell reports the fraction of households with a given pair of risk preferences. The off-diagonal terms represent the cases in which the husband and the wife have different risk preferences.

(a) **Table 2: Paired spousal risk preferences.** The table documents both assortative matching and meaningful within-household disagreement.

Table 3

OLS regression of the stock market participation rate on risk preferences

	Couples		Singles	
	(1)	(2)	(3)	(4)
Risk aversion	-0.112*** (0.008)	-0.081*** (0.007)	-0.132*** (0.014)	-0.103*** (0.013)
Risk aversion (wife)	-0.129*** (0.009)	-0.090*** (0.008)		
Age/10		-0.087** (0.042)		-0.029 (0.024)
Age/10, squared		0.010** (0.004)		0.007** (0.003)
Age/10 (wife)		0.023 (0.042)		
Age/10 (wife), squared		0.003 (0.004)		
Education		0.005** (0.002)		0.014*** (0.003)
Education (wife)		0.001 (0.002)		
No. children in HH		-0.003 (0.005)		-0.011 (0.008)
log HH earning		0.038*** (0.007)		0.029*** (0.009)
log HH earning, squared		-0.001 (0.001)		-0.002** (0.001)
log net wealth		-0.067*** (0.023)		-0.114*** (0.013)
log net wealth, squared		0.006** (0.001)		0.009*** (0.001)
2010		-0.066** (0.015)		-0.029 (0.022)
2014		-0.155*** (0.014)		-0.060*** (0.020)
2018		-0.202*** (0.014)		-0.079*** (0.020)
Female			0.037 (0.084)	-0.123* (0.073)
Female $\times$ Risk aversion			-0.022 (0.000)	0.027 (0.000)

(b) **Table 3: Participation and risk preferences.** This OLS table establishes that risk aversion predicts stockholding, but it does not identify bargaining weights.

6.3 Table 4: Household characteristics by financial head

Read:

- Husband-headed households have husbands who are better off in earnings, employment, and cognitive ability relative to wives.
- Wife-headed households show the reverse pattern, although the female advantage is generally smaller.
- Jointly headed households lie between these extremes.

Detailed interpretation: Table 4 shows why financial headship is not random. The person identified as financial head often has stronger economic characteristics. The model must therefore distinguish the bargaining effect of headship from the influence of observed spousal differences.

Economic message: Raw headship differences already bundle economic resources and gender norms. The structural model decomposes them.

Table 4
Household characteristics by financial head

	Husband-headed				Jointly headed				Wife-headed			
	All	Husband	Wife	Diff.	All	Husband	Wife	Diff.	All	Husband	Wife	Diff.
<i>Individual characteristics</i>												
Age	50.79	52.19	49.39	2.80***	50.21	51.38	49.03	2.35***	49.06	50.34	47.78	2.56*
Education	13.57	13.95	13.20	0.75***	12.80	12.83	12.77	0.06	12.58	12.13	13.03	-0.89***
Employment	0.58	0.66	0.49	0.17***	0.64	0.67	0.60	0.08***	0.61	0.63	0.59	0.04
Earnings (AU\$1,000)	52	80	25	55***	45	57	32	25***	42	45	39	6
Risk aversion	3.11	2.85	3.36	-0.51***	3.35	3.25	3.45	-0.19***	3.35	3.37	3.33	0.04
Cognitive ability	0.22	0.62	-0.19	0.81***	0.13	0.29	-0.03	0.31***	0.10	0.03	0.16	-0.13*
Extraversion	4.31	4.18	4.45	-0.27***	4.43	4.33	4.53	-0.20***	4.46	4.33	4.59	-0.27**
Agreeableness	5.38	5.06	5.69	-0.62***	5.45	5.23	5.67	-0.44***	5.32	5.10	5.55	-0.45***
Conscientiousness	5.27	5.33	5.22	0.11*	5.29	5.18	5.40	-0.22***	5.07	4.74	5.40	-0.66***
Stability	5.20	5.27	5.13	0.15**	5.33	5.31	5.36	-0.05*	5.16	5.07	5.25	-0.18*
Openness	4.26	4.37	4.15	0.22***	4.16	4.22	4.11	0.11***	4.23	4.21	4.26	-0.05
<i>Household characteristics</i>												
Stock participation	0.64				0.45				0.42			
HH earnings (AU\$1,000)	144				109				108			
Total wealth (AU\$1,000)	2,181				1,285				1,309			
Financial asset (AU\$1,000)	888				440				426			
Equity (AU\$1,000)	200				47				105			
No. children in HH	0.95				0.78				0.86			

This table reports household characteristics by the three types of financial heads of the household. The financial head of the household is measured based on the answers to the question of who makes the decisions about the savings, investment and borrowing in the household. The three types of households shown here are “husband-headed,” in which both spouses report the husband makes financial decisions; “jointly headed,” in which both husband and wife report that financial decisions are shared equally between spouses; and “wife-headed,” in which both spouses report the wife makes financial decisions. US\$1 $\approx$ AU\$1.2. * $p < .1$; ** $p < .05$; *** $p < .01$.

Table 4: Household characteristics by financial head. The original table is rotated for readability. It compares husband-headed, jointly headed, and wife-headed households and shows how headship aligns with within-couple characteristic differences.

6.4 Tables 5-7: Model estimates for spousal characteristics, gender effects, and other parameters

Read:

- Table 5 shows that employment, earnings, and cognitive ability are important determinants of bargaining weight.
- A one-standard-deviation increase in earnings raises bargaining weight by about 12.8%, employment by about 6.47%, and cognitive ability by about 3.11%.
- Table 6 shows strong gender-headship effects: husband-headed households have large positive husband effects, while wife-headed households have negative husband effects.
- Table 7 estimates participation costs and risk-measurement parameters. Participation costs decline with earnings, wealth, age, and cognition, and increase with children.

Detailed interpretation: These estimates are the core structural ingredients. Observable characteristics matter, but headship-specific gender effects are also large. This is what allows the paper to say the gender gap is not only a reflection of husbands earning more or being more employed.

Economic message: The bargaining gap comes from both household economics and gendered authority within the household.

Table 5
Model estimates for spousal differences in observed characteristics in the bargaining equation

Characteristic	Value (1)	SE (2)	$\Delta\beta$ (3)
Age/10	0.384	0.152	0.54%
Education	0.275	0.099	2.24%
Employment	0.409	0.067	6.47%
Earning	0.080	0.008	12.80%
Cognitive ability	0.055	0.009	3.11%
Extraversion	-0.053	0.009	-3.34%
Agreeableness	-0.062	0.010	-3.56%
Conscientiousness	0.040	0.008	2.37%
Stability	-0.061	0.011	-3.21%
Openness	0.031	0.007	1.66%

This table reports the estimates for the spousal difference in observed characteristics in the bargaining equation. Each characteristic is defined as the value difference between the paired husband and wife. Column 1 reports the coefficients, and column 2 reports the standard errors. Column 3 shows, for each characteristic, the change in bargaining weight from the baseline level (50%) when that characteristic increases by one-standard-deviation.

(a) **Table 5: Spousal differences.**
Observable advantages increase bargaining weight.

Table 6
Model estimates for gender effects in the bargaining equation

	Period t			
	2006	2010	2014	2018
Husband-headed	2.500 (0.051)	2.448 (0.005)	2.101 (0.012)	2.164 (0.005)
Husband-shared	0.868 (0.003)	0.525 (0.042)	0.511 (0.023)	0.656 (0.000)
Jointly headed	0.068 (0.059)	0.128 (0.515)	0.077 (4.866)	0.200 (3.029)
Wife-shared	-0.001 (1.901)	-0.070 (2.830)	-0.702 (0.296)	-0.644 (0.182)
Wife-headed	-0.344 (0.207)	-0.606 (0.528)	-0.985 (0.775)	-1.088 (0.842)

This table reports the estimates for gender effects in the bargaining equation. Each coefficient represents one of the five household types based on the identity of the financial head in each of the four waves (2006, 2010, 2014, 2018). The financial head of the household is measured based on the answers to the question regarding who makes the decisions about the savings, investment and borrowing in the household. The five types of households are "husband-headed" in which both spouses report the husband makes such decisions; "jointly headed" in which both husband and wife report that such decisions are shared equally between spouses; "wife-headed," in which both spouses report the wife makes such decisions; "husband-shared," in which one spouse reports husband and the other reports shared equally; and "wife-shared," in which one spouse reports wife and the other reports shared equally.

(b) **Table 6: Gender effects.**
Headship categories produce large gender-weight shifts.

Table 7
Model estimates for the rest of the parameters in the bargaining equation

Parameter	Value	SE	Parameter	Value	SE
<i>Participation cost (AU\$100)</i>					
c_0 (Intercept)	5.367	0.091	σ_{ϵ}^2	2.623	0.051
c_1 (log HH earnings)	-0.023	0.006	ρ_{ϵ}^2	-0.980	0.005
c_2 (log HH earnings, squared)	-1.055	0.091	σ_{η}^2	-0.245	0.012
c_3 (log net wealth)	-0.020	0.005	σ_{η}^2	-0.192	0.009
c_4 (log net wealth, squared)	-0.007	0.003	σ_{η}^2	0.317	0.005
c_5 (Age/10)	-0.017	0.002	σ_{η}^2	0.268	0.001
c_6 (Age/10, squared)	-0.034	0.003	σ_{η}^2		
c_7 (Education)	0.014	0.002	<i>General parameters</i>		
c_8 (Cognitive)	-0.120	0.018	σ_{ϵ}	0.550	0.042
c_9 (No. children in HH)	0.141	0.021	σ_{η}	2.115	0.023
c_{10} (2010)	0.326	0.053			
c_{11} (2014)	1.089	0.077			
c_{12} (2018)	15.000	0.842			

This table reports estimates for the rest of the parameters in the bargaining equation. The left panel reports all the coefficients from the participation cost function. The upper-right panel reports the coefficients associated with the risk attitude measurement equation. The lower-right panel reports the other parameters. σ_{ϵ} is the standard deviation of the residual term in the bargaining equation; σ_{η} is the standard deviation of the measurement error term for the log asset.

(c) **Table 7: Other parameters.**
Participation costs and measurement-error parameters complete the structural model.

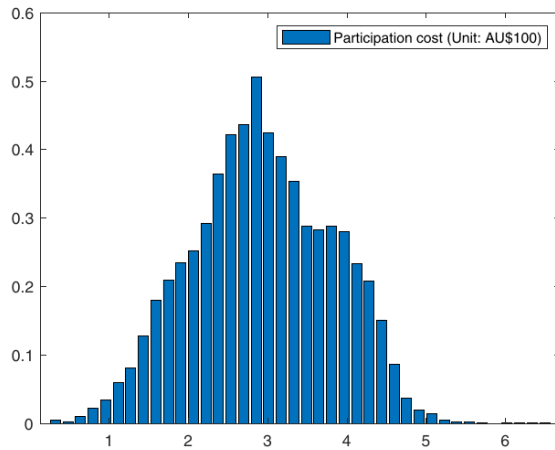
6.5 Figure 2: Distribution of participation cost; Figure 3: Distribution of risk aversion

Read:

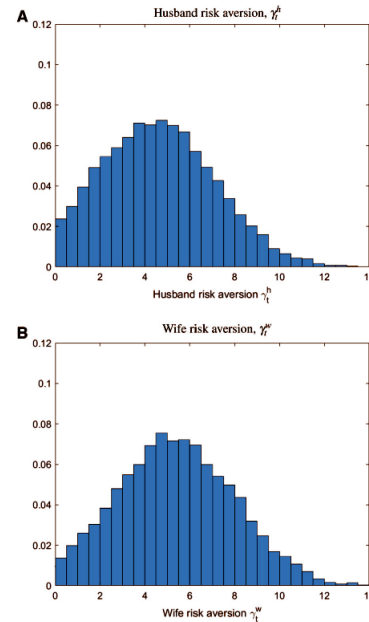
- Figure 2 shows substantial heterogeneity in participation costs, centered around roughly AU\$300.
- Figure 3 shows latent estimated risk aversion for husbands and wives. Wives' distribution is shifted toward greater risk aversion.

Detailed interpretation: These figures translate abstract structural parameters into economically interpretable distributions. Heterogeneous costs explain why some households do not participate even when risk aversion is moderate. Gender differences in latent risk aversion make bargaining weights relevant for portfolio outcomes.

Economic message: Both preferences and frictions matter. A household may avoid stocks because it is risk averse, because participation costs are high, or because the spouse with more bargaining power is more risk averse.



(a) **Figure 2: Participation cost.** The participation-cost distribution captures nonpreference barriers to stockholding.



(b) **Figure 3: Risk aversion.** The two panels show latent husband and wife risk-aversion distributions.

6.6 Table 8: Marginal distributions of portfolio choice; Figure 4: Distribution of the risky asset, $\log(a)$

Read:

- Table 8 compares simulated and actual participation and risky-asset holdings across household head types and risk-preference groups.
- The model preserves the monotonic pattern in which husband-headed households have higher participation than wife-headed households.
- Figure 4 shows that the model-implied risky-asset distribution tracks the empirical distribution reasonably well.

Detailed interpretation: These are goodness-of-fit diagnostics. They show that the model is not only fitting one average participation rate; it also captures heterogeneity by household type and by risk preferences.

Economic message: The structural estimates are credible only if the model can reproduce the main portfolio facts. Table 8 and Figure 4 provide that validation.

Table 8
Marginal distributions of portfolio choice

	Stock market participation		Risky asset (log value)	
	Sim	Data	Sim	Data
<i>By the financial head of the household</i>				
Husband-headed	0.659	0.642	10.56	11.03
Husband-shared	0.531	0.535	10.16	10.24
Jointly headed	0.466	0.447	9.99	9.74
Wife-shared	0.433	0.429	10.00	9.51
Wife-headed	0.461	0.424	10.11	9.95
<i>By husband's risk preference</i>				
Risk-taking	0.575	0.561	10.25	10.24
Risk-averse	0.334	0.319	9.64	9.20
<i>By wife's risk preference</i>				
Risk-taking	0.606	0.592	10.31	10.31
Risk-averse	0.375	0.361	9.77	9.48

This table compares the conditional moments from the model simulation with those from the real data. The first two columns concern stock market participation, and the last two concern the level of risky asset holdings. We simulate bargaining weights and financial decisions for each household. In the upper panel, we average these outcomes by the household head types. In the middle panel, we average the metrics by the husband's risk preference. "Risk-taking" includes the households in which husbands report their values of risk aversion to be between 1 to 3. "Risk-averse" includes the households in which husbands report their risk aversion as 4. In the bottom panel, we average the metrics by the wife's risk preference. "Risk-taking" includes the households in which wives report their values of risk aversion to be between 1 to 3. "Risk-averse" includes the households in which wives report their risk aversion as 4.

(a) **Table 8: Model fit moments.** The table compares simulation and data for participation and risky holdings.

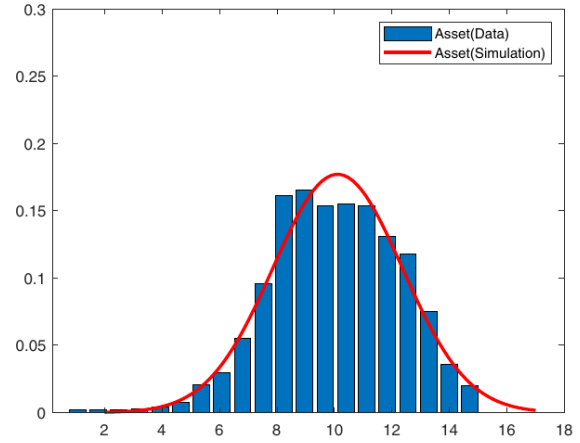


Figure 4
Distribution of the risky asset, $\log(a)$

This figure plots the distribution implied by the model (in red line) against the empirical distribution (in blue histogram). The x-axis represents the log value of the risky asset. The y-axis represents density. The asset value is top-coded in the HILDA Survey data by substituting the average value for all cases equal to or exceeding a given threshold. This approach explains the abnormally high value at the right end of the histogram distribution.

(b) **Figure 4: Risky asset distribution.** The red model line tracks the blue empirical histogram for participating households.

6.7 Tables 9-11: Bargaining-power decomposition and robustness to risk-measurement specifications

Read:

- Table 9 shows that the full model implies average husband bargaining weight of about 0.600.
- Gender effects alone generate a 0.567 husband weight; observed variables alone generate a 0.551 husband weight.
- Income and employment are major observable contributors, but gender effects remain large.
- Tables 10 and 11 show that allowing reported risk preferences to reflect spousal influence and marriage duration does not eliminate the gender gap.

Detailed interpretation: Table 9 is the main decomposition table. It says the average gender gap is not generated by a single channel. Tables 10 and 11 then show that the result survives a richer measurement model for reported risk attitudes.

Economic message: Husbands have more influence because of both economic-position differences and gendered household roles. The result is not a fragile artifact of one risk-preference measurement assumption.

Table 9
Source of bargaining power heterogeneity

	Bargaining weight (β_t^H)		Stock participation (3)	Risky asset (log values) (4)
	Mean (1)	SD (2)		
Equal weight ($\beta=0.5$)	0.500	0.000	0.448	9.97
All heterogeneity	0.600	0.226	0.491	10.11
Gender effects (δ_{β}^H)	0.567	0.147	0.465	10.03
All observed variables (δ_x)	0.551	0.146	0.464	10.00
Age	0.520	0.036	0.450	9.97
Education	0.513	0.343	0.532	10.36
Employment	0.542	0.255	0.510	10.63
Earning	0.562	0.242	0.497	10.21
Cognitive ability	0.540	0.116	0.461	9.99
Extraversion	0.470	0.179	0.465	10.02
Agreeableness	0.485	0.036	0.448	9.97
Conscientiousness	0.496	0.026	0.447	9.97
Stability	0.500	0.022	0.450	9.97
Openness	0.498	0.026	0.448	9.97

This table quantifies the importance of various components of the model in explaining the distribution of bargaining power between husband and wife. Our method is as follows: we change one particular component each time in the bargaining equation and simulate the bargaining weight and financial decisions (stock market participation and the level of risky asset holdings) for each household. Columns 1 and 2 report the mean and standard deviation of the simulated bargaining weights. Columns 3 and 4 report the average stock market participation and average risky asset holdings. The first line presents the benchmark case, in which spouses have an equal say about financial decisions with the bargaining power of $\beta=0.5$ in our model. The next line presents the full heterogeneity case in which we consider both gender effects and spousal differences in observable characteristics. The next two lines present the cases in which we consider only gender effects and only spousal differences in observable characteristics. The rest of the table reports the importance of each variable one by one.

Table 9: Source of bargaining power heterogeneity. The table decomposes average bargaining weights and portfolio implications into equal weights, all heterogeneity, gender effects, observed variables, and individual characteristics.

Table 10
Parameter estimates under alternative heterogeneity specifications

	(1) <i>Baseline</i>	(2) <i>Intermediate</i>	(3) <i>Full</i>
ζ_0^h	-0.236 (0.013)	-0.429 (0.017)	-0.348 (0.013)
ζ_0^w	-0.195 (0.011)	-0.527 (0.016)	-0.515 (0.019)
ζ_1^h	0.317 (0.005)	0.304 (0.005)	0.229 (0.004)
ζ_1^w	0.267 (0.003)	0.281 (0.004)	0.296 (0.004)
ζ_2^h		0.042 (0.003)	0.031 (0.002)
ζ_2^w		0.035 (0.002)	0.033 (0.003)
ζ_{1d}^h			-0.0099 (0.0004)
ζ_{1d}^w			-0.0045 (0.0004)
ζ_{2d}^h			0.0018 (0.0002)
ζ_{2d}^w			0.0030 (0.0003)
σ_ζ	2.627 (0.061)	2.394 (0.059)	2.671 (0.064)
ρ_ζ	-0.980 (0.008)	-0.980 (0.007)	-0.980 (0.005)
Obs.	8,508	8,508	8,508
log L	-14,600	-14,531	-14,444
LR tests		(1) & (2)	(2) & (3)
p -value		<.001	<.001

This table reports estimates of three nested model specifications. The *Baseline* case is when $\zeta_{1d}^h = \zeta_{1d}^w = \zeta_2^h = \zeta_2^w = \zeta_{2d}^h = \zeta_{2d}^w = 0$, which reduces to the original specification in Section 3.2. In the *Intermediate* case, represented by $\zeta_{1d}^h = \zeta_{2d}^h = \zeta_{1d}^w = \zeta_{2d}^w = 0$, an individual's reported risk preference is influenced not only by their true risk preference but also by their spouse's true risk preference. However, the coefficients for the true risk preferences

(a) **Table 10: Alternative heterogeneity specifications.** The nested specifications relax how risk preferences are reported and influenced by spouse and marriage duration.

Table 11
The distributions of bargaining weights

	(1) <i>Baseline</i>	(2) <i>Intermediate</i>	(3) <i>Full</i>
10%	0.287	0.180	0.167
25%	0.431	0.328	0.383
50%	0.604	0.642	0.688
75%	0.781	0.872	0.882
90%	0.909	0.951	0.961
Mean	0.598	0.598	0.621

The distribution of simulated bargaining weights attributed to husbands across the three specified specifications.

(b) **Table 11: Bargaining weight distributions.** The husband advantage remains across alternative measurement specifications.

6.8 Figure 5: Husband's bargaining power, by financial head structure

Read:

- Panel A combines gender effects and observed characteristics. Husband bargaining power rises from wife-headed to jointly headed to husband-headed households.
- Panel B keeps only gender effects. It shows that gender-headship effects are a major source of heterogeneity.
- Panel C keeps only observed characteristics. It also contributes but is not the dominant force in the headship gradient.
- Over time, wives' bargaining power increases, especially among wife-headed households.

Detailed interpretation: Figure 5 is the most intuitive summary of the paper. It connects a survey concept, financial headship, to a revealed-preference concept, bargaining weight. It also shows that the gender effect is especially strong in husband-headed households.

Economic message: Financial authority inside the household is reflected in risky investment behavior. The person with final say has portfolio influence beyond observable traits.

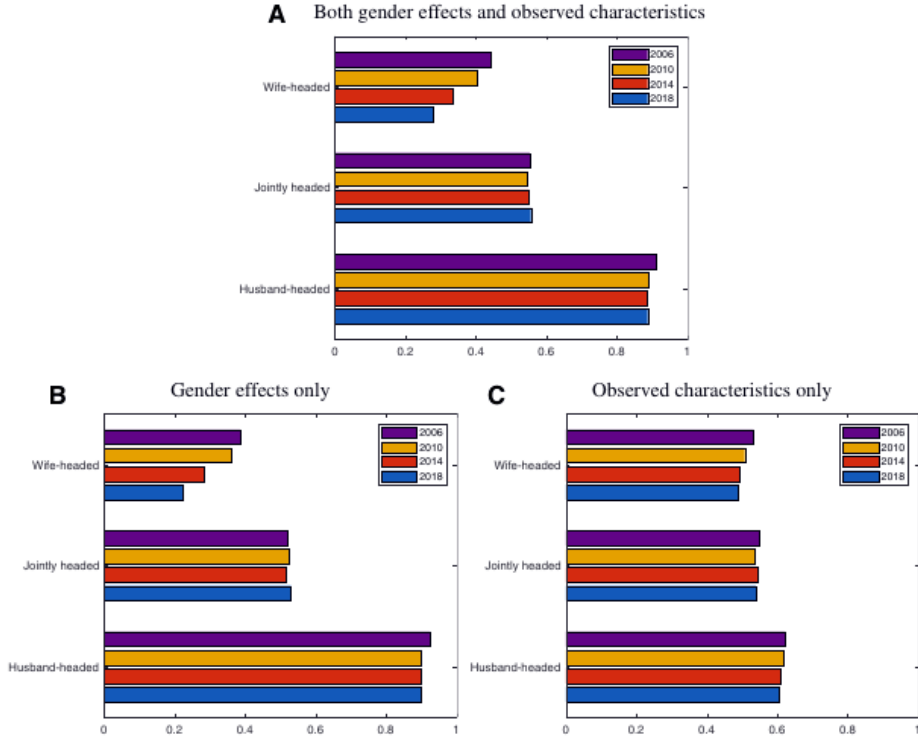


Figure 5

Husband's bargaining power, by financial head structure

The figure plots the average bargaining power a husband has across household head types. "Husband-headed" represents the group in which both spouses report the husband makes financial decisions; "jointly headed" represents the group in which both husband and wife report that financial decisions are "shared equally" between spouses; and "wife-headed" represents the group in which both spouses report the wife makes financial decisions. Panel A plots, for each household type in any given wave, the average bargaining power a husband has in the baseline model. Panel B reports the simulated average husband bargaining weight when we retain gender effects, and panel C reports the simulated average husband bargaining weight when we retain the heterogeneity from the observed characteristics.

Figure 5: Husband's bargaining power, by financial head structure. The figure decomposes husband bargaining power by household-head type, gender effects, observed characteristics, and year.

6.9 Tables 12-13: Gender norms and decision domains

Read:

- Table 12 shows that more traditional gender norms are associated with higher husband bargaining weights and a higher probability of husband headship.
- Table 13 shows that authority over savings, investment, and borrowing is highly correlated with authority over bills and large purchases.

Detailed interpretation: Table 12 provides mechanism evidence for the residual gender effect. Table 13 addresses a welfare interpretation concern: if wives had low bargaining power only in portfolio decisions but high power in consumption decisions, the welfare implications might be muted. The positive correlations suggest financial authority is broad.

Economic message: Gender norms appear to shape who has influence over financial choices, and that influence likely extends beyond portfolio allocation.

Table 12
Gender norms and bargaining weights

	Bargaining weight of husbands		Husband-headed
	(1) Only gender norms	(2) With controls	(3) With controls
Division of labor (husband)	0.001 (0.001)	0.003*** (0.001)	0.004** (0.002)
Share housework (husband)	0.004*** (0.001)	-0.000 (0.001)	0.009*** (0.002)
Mother's role (husband)	-0.001 (0.001)	0.001 (0.001)	0.011*** (0.003)
Division of labor (wife)	0.005*** (0.001)	0.004*** (0.001)	-0.001 (0.003)
Share housework (wife)	-0.002 (0.001)	-0.001 (0.001)	0.003 (0.002)
Mother's role (wife)	0.005*** (0.001)	0.002** (0.001)	0.007*** (0.002)
Observations	8,378	8,378	8,378

This table analyzes the impact of gender norms on bargaining weights. Attitudes about gender norms are measured by three questions that elicit participants' attitudes toward the division of labor, the share of housework in the family, and the mother's role. Answers to each question are measured on a 7-point Likert scale from 1 (strongly disagree) to 7 (strongly agree). We recode all variables so that a higher value represents a more traditional view of gender norms (see [Section A.5](#) of the [Internet Appendix](#) for more details). The dependent variable in columns 1 and 2 is the simulated bargaining weight from in the bargaining equation, which is the same as the one shown in Figure 5, panel A. Column 1 reports the results of a simple OLS regression of this simulated bargaining weight of husbands on both husbands' and wives' gender norm questions. Column 2 includes extra controls: age, education, household income, household wealth, cognitive ability, and personality traits. Column 3 regresses the dummy variable indicating a husband-headed household on perceived gender norms. Robust standard errors are in parentheses. * $p < .1$; ** $p < .05$; *** $p < .01$.

effect toward men is the strongest among husband-headed households. Column 3 shows that, consistent with the role of gender norms in shaping intrahousehold bargaining power, households with more egalitarian views of gender norms are less likely to select the husband as the household head

(a) **Table 12: Gender norms and bargaining weights.** Traditional gender attitudes predict higher husband influence and husband headship.

Table 13
Correlation between responses to household investment decisions and other household decisions

Domain	Correlation with savings, investment, and borrowing
Managing day-to-day spending and paying bills	0.52
Making large household purchases	0.53
The number of hours spent in paid work	0.22
The number of hours partner/spouse spent in paid work	0.12
The way children are raised	0.04
Social life and leisure activities	0.04

This table investigates the correlation between household investment decisions and other household decisions. In addition to asking about household decision-making in "Savings, investment and borrowing," the HILDA Survey also asks about household decision-making along six other domains: (1) managing day-to-day spending and paying bills; (2) making large household purchases (e.g., cars and major appliances); (3) the number of hours spent in paid work; (4) the number of hours partner/spouse spent in paid work; (5) the way children are raised; and (6) social life and leisure activities. Respondents are given the following options: themselves, their spouses, shared equally between spouses, or other people. In each domain, we classify all households into five types: "husband-headed," in which both spouses report the husband makes such decisions; "jointly headed," in which both husband and wife report that such decisions are shared equally between the spouses; "wife-headed,"

(b) **Table 13: Decision-domain correlations.** Investment decision authority is strongly correlated with authority over bills and large purchases.

6.10 Table 14: Comparison of bargaining power heterogeneity between Australia, Germany, and the United States

Read:

- In Australia, the average husband bargaining weight is about 0.600 under all heterogeneity.
- In Germany, it is about 0.685, suggesting a larger gender gap.
- In the United States, it is about 0.609, close to Australia.
- Gender effects alone account for a large share of the cross-country gender gap, especially in Germany.

Detailed interpretation: Table 14 extends the analysis beyond Australia. While confidence intervals are wider in Germany and the United States, the pattern is consistent: husbands tend to have more bargaining power, and gender effects matter in multiple countries.

Economic message: The gender gap in household portfolio bargaining appears to be a broader phenomenon, not an artifact of one country's survey design.

Table 14
Comparison of bargaining power heterogeneity between Australia, Germany, and the United States

	Australia		Germany		US	
	Bargaining weight (β_t^H) (1)	Stock participation (2)	Bargaining weight (β_t^H) (3)	Stock participation (4)	Bargaining weight (β_t^H) (5)	Stock participation (6)
Equal weight ($\beta=0.5$)	0.500 [0.500,0.500]	0.429 [0.399,0.496]	0.500 [0.500,0.500]	0.206 [0.180,0.231]	0.500 [0.500,0.500]	0.352 [0.204,0.496]
All heterogeneity	0.600 [0.589,0.611]	0.491 [0.444,0.539]	0.685 [0.582,0.788]	0.279 [0.249,0.309]	0.609 [0.507,0.711]	0.384 [0.252,0.507]
Gender effects (δ_{jt}^H)	0.567 [0.558,0.577]	0.465 [0.416,0.514]	0.837 [0.765,0.909]	0.232 [0.204,0.260]	0.622 [0.541,0.703]	0.356 [0.207,0.498]
All observed variables (δ_x)	0.551 [0.544,0.557]	0.464 [0.417,0.510]	0.549 [0.504,0.594]	0.238 [0.213,0.263]	0.582 [0.559,0.607]	0.358 [0.215,0.495]

This table quantifies the distribution of bargaining power between husband and wife in Australia, Germany, and the United States. Our method is as follows: we change one particular component each time in the bargaining equation and simulate the bargaining weight and financial decisions (stock market participation and the level of risky asset holdings) for each household. To obtain the 95% confidence interval (displayed within brackets), we implement a bootstrap method that involves drawing sets of parameters randomly from their estimated distributions. For each set of drawn parameters, we simulate the outcomes, namely, stock market participation, the level of risky asset holdings, and bargaining power, for each household. This process of drawing and simulation is repeated $R=200$ times, providing us with a distribution of sample averages for the three aforementioned outcomes. Subsequently, we calculate the 2.5th and 97.5th percentiles of this bootstrap distribution, which enables us to construct a confidence interval for each outcome. Columns 1 and 2 report the average bargaining weights and stock market participation rate in Australia. Columns 3 and 4 report the average bargaining weights and market participation rate in Germany. Columns 5 and 6 report the average bargaining weights and market participation rate in the United States. The first two lines present the benchmark case, in which spouses have an equal say about financial decisions with the bargaining power of $\beta=0.5$ in our model. The next two lines present the full heterogeneous case in which we consider both gender effects and spousal differences in observable characteristics in our baseline fully fledged model. The next four lines present the cases in which we consider only gender effects and only spousal differences in observable characteristics.

Table 14: Cross-country comparison. The original table compares Australia, Germany, and the United States. It reports bargaining weights and stock participation under equal weighting, all heterogeneity, gender effects only, and observed variables only.

7 Short summary

- The paper studies intrahousehold bargaining power in household portfolio choice.
- It uses the HILDA survey to observe both spouses' risk preferences, characteristics, financial headship, and household portfolios.
- The model infers household bargaining weights from the way spousal risk preferences aggregate into stock market participation and risky asset holdings.
- Household risk tolerance is a weighted average of husband and wife risk tolerance.
- Bargaining weights depend on observable spousal differences, household financial headship, persistent unobserved heterogeneity, and shocks.
- The baseline estimates imply husband bargaining power of roughly 60% and wife bargaining power of roughly 40%.
- Observable differences in earnings, employment, and cognition explain part of the gap.
- Gender effects, especially in husband-headed households, explain a large remaining share.
- The model fits key portfolio moments and risky-asset distributions reasonably well.
- More traditional gender norms predict higher husband bargaining power and husband headship.
- The gender gap also appears in Germany and the United States.

8 Conclusion

8.1 Core conclusion

The paper shows that household portfolio choices reveal a significant gender gap in intrahousehold bargaining power. Husbands have more influence over risky investment decisions than wives in the average household, even after accounting for spousal differences in earnings, employment, cognition, education, age, and personality traits.

8.2 Economic intuition

Household risky investment is a joint decision. If the husband and wife have different risk preferences, the portfolio will tend to resemble the preference of the spouse with greater bargaining power. By matching household stock participation and risky holdings to individual risk preferences, the model backs out the implicit weights that each spouse receives.

8.3 Incremental contribution revisited

The paper’s contribution is to turn household finance into an intrahousehold problem. It provides a structural revealed-preference measure of bargaining power and shows that a sizable gender gap remains after accounting for individual characteristics. This is different from simply documenting that men and women have different risk preferences; the paper shows that men’s preferences receive more weight in household risky investment decisions.

8.4 Implications for household finance

The findings imply that household-level portfolio data can conceal internal inequality. A household may appear to make a single choice, but the choice may overrepresent one spouse’s preferences. This matters for studying stock participation, financial advice, retirement saving, risk exposure, and the welfare effects of financial literacy programs.

8.5 Implications for gender norms

The gender-norm evidence suggests that bargaining power is partly shaped by social beliefs about who should control financial decisions. Policies that target only individual financial literacy or income may not fully change household financial behavior if decision authority remains gendered.

8.6 Limitations and future work

The model is static and focuses on portfolio choice. It does not model divorce risk, repeated bargaining, labor supply, consumption, housing, or dynamic saving. Future work could extend the framework to joint decisions over consumption, retirement accounts, housing, and intergenerational transfers, and could study how bargaining weights change after shocks to income, wealth, or norms.

8.7 Takeaway

The main takeaway is that household finance should not always treat the household as a representative agent. When spouses differ in preferences and power, the household portfolio is a weighted compromise. In the data, that compromise gives husbands more weight on average, and this imbalance is linked to both economic characteristics and gender norms.